



SHUHARI FINANCE

PRIVATE LIMITED

SHUHARI FINANCE PRIVATE LIMITED LOAN TERMS AND CONDITIONS

These Loan Terms and Conditions ("**Terms**" or the "Loan Agreement") govern the loan facility ("**Loan**") applied for by you (the "**Borrower**") from Shuhari Finance Private Limited, Non-Banking Finance Company (the "**Lender**") and together with the Key Facts Statement, the Sanction Letter and the Repayment Schedule, constitute the "**Loan Documents**".

I. DEFINITIONS

In these Terms, unless the context otherwise requires, capitalised terms have the following meanings:

"Annual Percentage Rate "APR"" means the annual cost of credit to the Borrower which includes interest rate and all other charges associated with the Loan, computed and disclosed in the Key Facts Statement.

"Applicable Law" means any statute, regulation, rule, direction, circular, notification, guideline, order or judgment having the force of law in India, including those issued by the Reserve Bank of India, as amended from time to time.

"Borrower" means the individual applicant whose particulars are set out in the Loan Application and includes the Borrower's heirs, legal representatives, executors, administrators and permitted assigns.

"Borrower's Bank Account" means the bank account of the Borrower in which the Borrower requests disbursement of the Loan.

"Business Day" means a day (other than a public holiday) on which scheduled commercial banks are open for business in Bengaluru, Karnataka.

"Cooling-off Period" means the period specified in the Key Facts Statement, during which the Borrower may exit the Loan in accordance with Clause 4.4 without payment of any penalty.

"Credit Facilities Directions" means the Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Directions, 2025, as amended from time to time.

"Credit Information Company "CIC"" means a credit information company registered with the RBI under the Credit Information Companies (Regulation) Act, 2005.

"Credit Information Reporting Directions" means the Reserve Bank of India (Non-Banking Financial Companies – Credit Information Reporting) Directions, 2025, as amended from time to time.



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“**DLA**” means the mobile and/or web-based application operated by the LSP through which digital lending services in respect of the Loan are facilitated and whose details are disclosed to the Borrower in the KFS.

“**DPDP Act**” means the Digital Personal Data Protection Act, 2023 and the rules thereunder.

“**Event of Default**” means any event or circumstance specified in Clause 8.

“**Key Facts Statement “KFS”**” means the standardised key facts statement issued by the Lender to the Borrower in the format prescribed by the RBI, setting out the principal terms of the Loan including the APR, the recovery mechanism, the grievance redressal contact and the Cooling-off Period, which forms part of the Loan Documents.

“**KYC Directions**” means the Reserve Bank of India (Non-Banking Financial Companies – Know Your Customer) Directions, 2025, as amended from time to time.

“**Loan**” means the loan facility of the amount granted by the Lender to the Borrower on these Terms and as specified under the Sanction Letter.

“**Loan Application**” means the digital loan application submitted by the Borrower on the DLA, together with all information, documents, declarations and consents furnished by the Borrower in connection with the Loan.

“**Loan Documents**” means, collectively, these Terms, the Loan Application, the KFS, the Sanction Letter, the Repayment Schedule and every other document executed or furnished in relation to the Loan.

“**LSP**” means an agent engaged by the Lender to perform one or more digital lending functions on the Lender’s behalf through a DLA or otherwise.

“**Outstanding Amounts**” means, at any time, all amounts payable by the Borrower in respect of the Loan, including the outstanding principal, accrued interest, charges and all costs and expenses payable under the Loan Documents.

“**Payment Instrument**” means the UPI Autopay / NACH mandate / standing instruction / NEFT / RTGS / cheque or other instruction registered or issued by the Borrower for repayment of the Loan.

“**Penal Charges**” means the charges levied by the Lender on default in compliance with the Borrower’s material obligations, as set out in Clause 3.2 and the KFS, levied as a charge.

“**Personal Data**” has the meaning given under the DPDP Act.

“**Rate of Interest**” means the rate of interest per annum applicable to the Loan as specified in the KFS and Sanction Letter.



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“RBC Directions” means the Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025, as amended from time to time .

“Repayment Schedule” means the schedule of repayment of the Loan set out in the KFS, as revised from time to time and notified to the Borrower.

“Sanction Letter” means the sanction letter issued by the Lender and accepted by the Borrower, recording the sanction of the Loan.

“Loan Term” means the period of the Loan specified in the KFS and Sanction Letter.

II. INTERPRETATION

- a) References to a statute or regulation are to that statute or regulation as amended, modified, re-enacted or replaced from time to time.
- b) Words in the singular include the plural and vice versa; “include” and “including” are without limitation; headings are for convenience only and do not affect interpretation.
- c) If there is any inconsistency among the Loan Documents, the order of precedence shall be: (i) the KFS in respect of the APR and the commercial terms of the Loan; (ii) the Sanction Letter; and (iii) these Terms.

III. COVENANTS

1. Sanction and Disbursement of the Loan

- 1.1 The Borrower understands that sanction and disbursement of the Loan will be at the sole discretion of Lender and the Lender may reject the loan as per its internal policies and/ or RBI guidelines.
- 1.2 The Loan shall be used solely for the personal end-use specified in the Loan Application (the **“Purpose”**), and not for any speculative, capital-market or unlawful purpose.
- 1.3 Disbursement is subject to the following conditions being fulfilled to the satisfaction of Lender on or before the disbursement date:
 - a) Acceptance of these Terms by the Borrower.
 - b) Successful registration and activation of a NACH / UPI AutoPay mandate for EMI collection in favour of the Lender.
 - c) Completion of KYC / AML verification and satisfactory Customer Due Diligence (CDD).



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- d) No material adverse change in the Borrower's financial position, creditworthiness, or employment status between the date of application and the proposed disbursement date.
 - e) The Borrower's representations and warranties being true, complete, and not misleading as on the date of disbursement.
 - f) Payment of applicable stamp duty and other statutory levies, if any.
 - g) Borrower furnishing such other documents and information as the Lender may reasonably require.
- 1.4 The Lender may, on reasonable grounds, decline to disburse, or cancel any undisbursed portion of, the Loan, including where a representation is found to be incorrect, an Event of Default has occurred or is likely to occur, or it becomes unlawful for the Lender to lend. Interest shall accrue only from the date of actual disbursement.
- 1.5 Disbursements shall be deemed to have been made to the Borrower on the date on which the Loan is transferred by Lender into the Borrower's Bank Account by RTGS/NEFT/IMPS as the case may be.

2. Interest and Annual Percentage Rate

- 2.1 The Borrower shall pay interest on the outstanding principal at the Rate of Interest specified in the KFS and Sanction Letter.
- 2.2 Interest shall begin to accrue in favour of Lender as and from the date of the disbursement of the Loan.
- 2.3 Interest shall be computed on the actual number of days elapsed on the basis of a 365-day year (366 days in a leap year).
- 2.4 The all-inclusive cost of the Loan is disclosed as the APR in the KFS.
- 2.5 The Lender follows a Board-approved risk-based pricing and interest-rate policy; the approach to gradation of risk is disclosed therein and available on the Lender's website.

3. Fees, Charges and Penal Charges

- 3.1 The Borrower shall bear the fees and charges specified in the KFS, including any non-refundable processing fee, which may be deducted from the disbursement. All such fees and charges are reflected in the APR.



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- 3.2 **Penal Charges.** On default by the Borrower in compliance with a material term of the Loan Documents (including delay in payment of any amount on its due date), the Lender may levy Penal Charges as specified in the KFS. The Penal Charges are levied as a charge for default and not as an additional rate of interest, are reasonable and commensurate with the default, are not levied at a rate higher than that applicable to non-individual borrowers for similar default, and no further interest shall accrue on the Penal Charges. The quantum and reason for any Penal Charges levied shall be communicated to the Borrower.
- 3.3 The Borrower shall bear all stamp duty, taxes, statutory levies and registration charges in respect of the Loan Documents as required under Applicable Law.

4. Repayment, Prepayment and Cooling-off

- 4.1 The Borrower shall repay the Loan by paying the instalments set out in the Repayment Schedule on each due date. In accordance with the Credit Facilities Directions, all repayment and servicing shall be **executed by the Borrower directly into the Lender's designated account, without any pass-through or pool account of the LSP or any third party.** Timely payment is of the essence.
- 4.2 The Borrower shall not cancel, stop or revoke the Payment Instrument during the Loan Term or until all Outstanding Amounts are paid and a no-dues confirmation is issued, whichever is later.
- 4.3 **Prepayment and foreclosure.** The Borrower may prepay or foreclose the Loan, in whole or in part, subject to the terms disclosed in the KFS.
- 4.4 **Cooling-off / look-up period.** During the Cooling-off Period, the Borrower may exit the Loan by repaying the principal disbursed together with the proportionate APR, without payment of any penalty. The Lender shall retain only the one-time, non-refundable processing fee disclosed in the KFS. No prepayment or foreclosure charge shall be levied in respect of an exit during the Cooling-off Period.
- 4.5 In the event the Borrower remits/pays any amounts in excess of the amounts due to the Lender for the Loan, the Lender shall refund such excess amounts to the Borrower, unless otherwise agreed with the Borrower.

5. Data Privacy and Disclosures

- 5.1 The Lender, the LSP and/or any other third party authorised by the Lender shall collect, process and store the Borrower's Personal Data on a need-based basis, with the Borrower's prior and



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explicit consent, with a clear audit trail, and in accordance with Applicable Law. The Lender's Privacy Policy is disclosed on the DLA and the Lender's website.

- 5.2 The Borrower may withdraw such consent at any time in the manner specified under the Lender's Privacy Policy. On withdrawal, the Lender and the LSP shall cease processing within a reasonable time unless retention or continued processing is necessary for the performance of the Loan or is required under Applicable Law.
- 5.3 The Lender shall have the right to verify all information and documents provided by Borrower for obtaining any Loan and the Borrower acknowledges that such verification records may be subsequently retained by the Lender in accordance with Applicable Laws.
- 5.4 The Borrower acknowledges and authorises Lender to procure the PAN/copy of PAN, other identity proof and bank account details, from time to time and to also generate/obtain credit bureau reports and such other reports as and when Lender may deem fit for the purposes of the Loan and shall not hold the Lender liable for use of this information.
- 5.5 In accordance with Applicable Law, the Borrower's KYC details may be shared with the KYC registry notified by the RBI. Borrower acknowledges that they may receive information from the central KYC registry through SMS/email on the registered number/email address.
- 5.6 The Borrower acknowledges and authorises the Lender to disclose information and data relating to the Borrower, Loan, or default committed by Borrower to banks, financial institutions, domestic and foreign lenders, internal and external auditors, other third parties or agencies ("**Permitted Recipients**") as Lender may deem appropriate and necessary to disclose, in compliance with Applicable Laws. The Borrower also acknowledges and authorises such information to be used, and processed by the Lender and Permitted Recipients in accordance with Applicable Laws.
- 5.7 The Borrower acknowledges to the Lender's right to disclose information and data relating to the Borrower and the Loan, including any default, to CICs, the RBI, any Information Utility under the Insolvency and Bankruptcy Code, 2016, and other agencies authorised under Applicable Law, and to the Lender reporting the Borrower's account and repayment conduct to CICs on a regular basis in accordance with the Credit Information Reporting Directions.
- 5.8 In accordance with the Credit Information Reporting Directions, the Lender shall send the Borrower an alert by SMS and/or email, where the Borrower's mobile number and/or email are available, when information relating to default or days-past-due (DPD) in the Loan is submitted to a CIC.



CONTACT

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CIN

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REGISTERED OFFICE ADDRESS

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- 5.9 The Borrower acknowledges that delay or default in repayment may adversely affect the Borrower's credit score and that the account will be classified as a Special Mention Account (SMA) or Non-Performing Asset (NPA) in accordance with the applicable RBI asset-classification norms. Where any amount due under the Loan is not received before the Lender runs its day-end process on the due date, the amount is treated as overdue and, by reference to the number of days it remains continuously overdue, **the account is classified as SMA-0 (overdue up to 30 days), SMA-1 (on the 31st day), SMA-2 (on the 61st day), and as an NPA (on the 91st day), in each case upon the Lender running its day-end process on the relevant date. By way of illustration, if the due date is 05-01-2023 and the amount remains continuously unpaid, the account is classified as SMA-1 on 04-02-2023, SMA-2 on 06-03-2023 and as an NPA on 05-04-2023. Once classified as an NPA, the account is upgraded to 'standard' only when the entire arrears of interest and principal are paid by the Borrower.**

6. Representations and Warranties of the Borrower

The Borrower represents and warrants that:

- (a) the Borrower is a resident Indian individual, of sound mind and competent to contract, and is the sole and beneficial owner of the Borrower's Bank Account;
- (b) all information and documents furnished in the Loan Application and the Loan Documents are true, complete and accurate, and no material fact has been suppressed;
- (c) the Borrower is not a director or relative of a director or senior officer of the Lender, and is not a Politically Exposed Person, except as disclosed in writing to the Lender;
- (d) neither the Borrower nor any person acting on the Borrower's behalf is engaged in money laundering, financing of terrorism, or any corrupt or fraudulent practice, and the Borrower is not a person designated under any applicable sanctions list;
- (e) there is no litigation, insolvency proceeding or investigation pending or threatened against the Borrower that would materially affect the Borrower's ability to perform its obligations; and
- (f) where any contact reference has been provided, the Borrower has obtained that person's consent to being contacted by the Lender or the LSP for verification and fraud checks.



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7. Covenants and Undertakings of the Borrower

So long as any Outstanding Amounts remain payable, the Borrower shall:

- (a) use the Loan solely for the Purpose, and not for any unlawful, speculative or capital-market activity;
- (b) maintain a valid Payment Instrument and sufficient balance for repayment, and not close the bank account from which the Payment Instrument operates;
- (c) promptly notify the Lender of any change in the Borrower's email, mobile number or address, and of any Event of Default or material adverse change;
- (d) keep KYC information current and furnish such information and documents as the Lender may reasonably require under the KYC Directions; and
- (e) comply with Applicable Law in respect of the Loan.

8. Events of Default and Consequences

8.1 Each of the following is an Event of Default:

- (a) non-payment of any instalment or other amount on its due date;
- (b) breach of any material covenant, representation or warranty under the Loan Documents;
- (c) any information or document furnished by the Borrower being found to be false, misleading or fraudulent;
- (d) dishonour or cancellation of the Payment Instrument;
- (e) insolvency or death of the Borrower, or the Borrower becoming subject to proceedings affecting the ability to repay;
- (f) use of the Loan for any purpose other than the Purpose, or for any unlawful purpose; or
- (g) it becoming unlawful for the Lender to maintain the Loan.

8.2 **Consequences.** On the occurrence of an Event of Default that is capable of remedy, the Lender (or its authorised agent) shall give the Borrower notice to remedy the default within ten days. If the default is not remedied, or is not capable of remedy, the Lender may, in its discretion:

- (i) recall the Loan and declare all Outstanding Amounts immediately due and payable;



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- (ii) report the account to CICs and the RBI as SMA/NPA in accordance with RBI directions;
 - (iii) initiate recovery in accordance with Clause 9; and
 - (iv) exercise any other right available under the Loan Documents or Applicable Law.
- 8.3 The entries made in the records of the Lender (including any statement of account, whether maintained physically or electronically) shall, save for manifest error, be conclusive evidence of the existence and the amount of the Outstanding Amounts and shall be binding on the Borrower.
- 8.4 The decision of the Lender as to whether an Event of Default has occurred shall, save for manifest error, be binding on the Borrower. Upon the Borrower failing to pay all Outstanding Amounts within 15 (fifteen) days of a demand made following acceleration, the Lender may exercise any other right or remedy available to it under the Loan Documents or Applicable Law.
- 8.5 All rights and remedies of the Lender under the Loan Documents are cumulative and in addition to, and not in derogation of, any rights or remedies available to the Lender as a creditor under Applicable Law, and may be exercised successively or concurrently.
- 8.6 Without prejudice to its other rights, the Lender may initiate criminal or other appropriate proceedings where the Applicable Law provides for such recourse to the Lender or where it has reasonable grounds to believe that the Borrower has made any misrepresentation or submitted any forged or fabricated document or data.

9. Recovery

- 9.1 The Lender may, directly or through the LSP or a recovery agent, contact the Borrower to recover Outstanding Amounts by telephone, written or electronic communication, or personal visit. The identity and authority of any person making a recovery contact shall be made known to the Borrower, and the details of the recovery agent shall be communicated to the Borrower before the agent contacts the Borrower.
- 9.2 Recovery shall be conducted in accordance with the Responsible Lending Conduct requirements of the RBC Directions and the Lender's Board-approved Fair Practices Code. Contact shall be made only during permissible hours. No abusive, coercive, harsh or unfair recovery practice shall be employed.



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10. Lien and Set-off

- 10.1 On the occurrence of an Event of Default, the Lender may, with notice to the Borrower, exercise a right of set-off and apply any monies of the Borrower in the Lender's possession or control towards the Outstanding Amounts, subject to Applicable Law.

11. Assignment

- 11.1 The Borrower shall not assign or transfer any of its rights or obligations under the Loan Documents.
- 11.2 The Lender may, subject to Applicable Law, assign, transfer, novate or securitise its rights and obligations under the Loan Documents to any person, and shall notify the Borrower of such assignment where required. The Borrower shall continue to be bound by the Loan Documents notwithstanding any such assignment.

12. Communications and Notices

- 12.1 Notices to the Borrower may be served by post, courier, or electronic means (including email, SMS or in-app message) at the Borrower's registered contact details. A notice is deemed delivered: (a) if sent by registered post or speed post, on the expiry of 5 (five) Business Days after the date of posting; (b) if sent by courier, on the date of delivery recorded by the courier or, failing such record, on the expiry of 2 (two) Business Days after dispatch; and (c) if sent by electronic means, on transmission to the Borrower's registered email, mobile number or device. Notices to the Lender shall be served at its registered office and email address.

13. Indemnity

- 13.1 These Terms entered into between Lender and Borrower are purely a financial arrangement, and Lender shall not be liable to the Borrower for any liability, claim, loss, or expense of any kind caused directly or indirectly to the Borrower, unless such liability cannot be excluded under Applicable Law.
- 13.2 Borrower hereby agrees to indemnify, defend and hold Lender, its employees, directors, representatives and consultants harmless against any liability, claim, loss, judgment, damage, cost or expense (including, without limitation, reasonable attorney's fees and expenses) as a result of or arising out of any failure by Borrower to observe or perform any of the terms and conditions and obligations contained in the Loan Documents or Event of Default or the exercise



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of any of the rights by Lender under the Loan Documents, including for any enforcement of security or recovery of the Outstanding Amounts.

14. Governing Law and Dispute Resolution

- 14.1 These Terms are governed by the laws of India. Subject to Clause 14.2, the courts at Bangalore shall have jurisdiction.
- 14.2 Any dispute arising out of or in connection with these Terms shall be referred to arbitration by a sole arbitrator mutually appointed by the Lender and the Borrower. The arbitration shall be conducted under the Arbitration and Conciliation Act, 1996, in English, with the seat and venue in Bangalore.

15. Grievance Redressal Mechanism

- 15.1 The Borrower may raise any grievance to the Grievance Redressal Officer of the Lender at the following contact:

Name: Pranaya Kumar Biswal

Email: grievance@shuhari.finance

Phone: 9364793068

- 15.2 If the grievance is not resolved within thirty (30) days of being raised, or if the Borrower is dissatisfied with the resolution, the Borrower may lodge a complaint with the Reserve Bank of India through the Complaint Management System (CMS) portal at www.cms.rbi.org.in.

16. Miscellaneous

- 16.1 Severability: an invalid or unenforceable provision shall be severed without affecting the remainder.
- 16.2 Waiver: no delay or failure by the Lender to exercise a right operates as a waiver of it.
- 16.3 Entire agreement: the Loan Documents constitute the entire agreement between the Lender and the Borrower on their subject matter.



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- 16.4 Electronic execution: the Borrower's electronic acceptance of the Loan Documents constitutes valid execution, and no separate physical signature is required. Upon such acceptance and disbursement, a binding contract is formed.
- 16.5 Survival: clauses on indemnity, disclosure, governing law, dispute resolution and grievance redressal survive termination.



CONTACT

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